How state capacity declines

We seem to go through a cycle in India which runs roughly as follows. An agency is established with low capabilities and excessive aspirations. Things do not work out, and there is a visible crisis.

We have excessive bureaucratic capture in India: the incumbents in an agency generally have a disproportionate say in the course corrections required after a crisis. It is in the interests of this bureaucracy to amass more personal power. Hence, crises lead to greater powers to do surveillance, greater powers to raid, and greater powers to punish.

Each crisis thus leaves the agency with greater discretionary power, which in turn fuels a decline in the capabilities of the agency. This perspective yields interesting insights into the decline of capability at many organizations in the last decade.

As an example of this phenomenon, RBI was the regulator of non-banking financial companies (NBFCs), and there was a large crisis of NBFCs. In response, RBI's powers were increased. Similarly, when politicians ask for greater tax revenues, the tax bureaucracy asks for more coercive power.

From dirigisme that is irrelevant to dirigisme that binds

The Indian state is littered with a variety of repressive laws and subordinate legislation. In the early years, these constraints often did not bind, as the enforcement capacity was not present. The development of state capacity, and the formalization of the Indian economy, are generating new problems with old tools of repression.

As an example, consider the Essential Commodities Act (ECA). When warehouses were owned largely by individuals, the ECA did not matter too much. Every now and then, a local policeman would use the ECA to raid a